

Rithm's \$500M Refi Shows Office Debt Is Available, but Only With Sponsor Equity Behind It

A \$72.5M equity check and \$43M in reserves reveal the new underwriting reality for office refinancing.

Inside the \$500 million financing

\$500 million

Debt / financing

\$415 million

Debt / financing

\$72.5 million

Debt / financing

The most important number in Rithm Capital's approaching \$500 million refinancing of 31

The most important number in Rithm Capital's approaching \$500 million refinancing of 31 West 52nd Street is not the \$415 million CMBS loan. It is the \$72.5 million of equity Rithm is contributing through its office subsidiary, Elecor Properties, to get the deal done.

Capital is available, but only when the sponsor absorbs the risk that the market will not

That equity injection, alongside nearly \$43 million in reserves for leasing commissions and capital improvements, reveals the new underwriting reality for office debt in 2026: capital is available, but only when the sponsor absorbs the risk that the market will not. Rithm is set to land a \$415 million CMBS loan and \$85 million in mezzanine debt to replace the existing \$500 million loan on the 29-story Midtown tower.

Wells Fargo, Bank of America, Barclays, Citi Real Estate Funding

Wells Fargo, Bank of America, Barclays, Citi Real Estate Funding, and Goldman Sachs are originating the debt. The interest rate is 6.85 percent, and the maturity is December 2029. The deal is expected to close next week. On its face, the refinancing looks like a vote of confidence in office. A major landlord with a public balance sheet is securing \$500 million from a syndicate of top-tier banks.

Rithm is not simply rolling over debt

But the structure tells a different story. Rithm is not simply rolling over debt. It is buying down lender risk with its own capital. The \$72.5 million equity contribution effectively reduces the loan-to-value ratio from what the market might otherwise require. The \$43 million in reserves ensures the building has cash to cover leasing costs and capital needs without tapping the lender for additional advances.

This is the capital stack logic of a market

The CMBS market is willing to finance office, but only if the sponsor backstops the downside. This is the capital stack logic of a market that has repriced office risk but has not yet cleared it. Lenders are not demanding full repayment. They are demanding that sponsors prove they have the liquidity and conviction to carry the asset through the next leasing cycle.

That spread suggests upside

The building is 86.5 percent leased, with tenants paying an average of \$81 per square foot, well below the surrounding area's average asking rents. That spread suggests upside, but it also means the current income stream is below market potential.

The reserves are not precautionary

Approximately 41 percent of the building's leases expire at the end of the decade, including those of law firm Pillsbury Winthrop Shaw Pittman and financial planner Centerview Partners, the third- and fourth-largest tenants. The reserves are not precautionary. They are structural. The building will need capital to re-lease space and compete for tenants in a market where the best credits command the best terms.

The refinancing follows a similar move in the spring, when Rithm landed a \$282.5 million

The refinancing follows a similar move in the spring, when Rithm landed a \$282.5 million loan at 1325 Sixth Avenue led by JPMorgan Chase. That building was 90 percent leased and appraised at \$395 million. The pattern is consistent: Rithm is refinancing its best office assets, not its weakest. It is concentrating liquidity where the basis is defensible and the sponsor can still command trust. Who benefits?

The banks earn fees and place debt on assets with a credible sponsor and a clear capital plan

Rithm gains time and avoids a distressed sale or a forced equity raise. The banks earn fees and place debt on assets with a credible sponsor and a clear capital plan. The CMBS investors get a loan with structural protections, including sponsor equity and reserves, that reduce the probability of early default. Who is exposed? The mezzanine lender holds \$85 million of risk behind the CMBS tranche.

The tenants with leases expiring in 2029 and 2030 face a landlord

If leasing falls short or values decline, that layer absorbs the first loss. The tenants with leases expiring in 2029 and 2030 face a landlord that has committed to spending on the building, which could improve the leasing experience but also signals that the building needs investment to remain competitive. The market should watch what happens to the 41 percent of expiring leases.

If Rithm can re-lease

If Rithm can re-lease that space at or above the current average rent, the building's cash flow strengthens and the refinancing looks prescient. If tenants downsize or leave, the reserves will be tested, and the mezzanine debt will become the first point of tension. Rithm's \$72.5 million equity check is not a sign of distress. It is a sign of discipline.

Why it matters

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